

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.
Complainant

VS.

SM LINE CORPORATION
Respondent

**SM LINE CORPORATION’S RESPONSE TO COMPLAINANT’S
MOTION FOR DETERMINATION OF CLAIM OF PRIVILEGE AND
WAIVER OF SAME CONCERNING A SINGLE DOCUMENT PRODUCED**

SM Line Corporation (“SM Line”), through undersigned counsel, respectfully requests for relief regarding its inadvertent disclosure of a privileged document, SML_0156832 (the “Subject Document”). For the reasons set forth below, Samsung Electronics American, Inc. (“SEA”) should be (1) ordered to return and/or destroy all copies of the Subject Document, and (2) precluded from relying on or mentioning the Subject Document for the remainder of this litigation.

RELEVANT FACTUAL AND PROCEDURAL BACKGROUND¹

I. SEA’s Complaint and Creation of the Subject Document

On April 19, 2023, SEA filed its Complaint against SM Line with the Federal Maritime Commission. SEA’s Complaint alleges, and SM Line disputes, that SM Line improperly assessed excessive demurrage and detention charges on SEA in violation of the Shipping Act of 1984, 46

¹ The facts and circumstances described herein are supported by the attached Declarations of Mr. Wook Chung, Mr. Kwang-Kuk Choi, and Mr. Woo-Cheol Shin.

U.S.C. § 40101, et. seq., in connection with inland transportation of containers carrying SEA products.

Shortly thereafter, SM Line retained undersigned counsel, Mr. Wook Chung and the law firm Montgomery McCracken Walker & Rhoads LLP (“MMWR”), to represent it. At that time, Mr. Chung, SM Line’s Vice President and U.S. Managing Director Mr. Kwang-Kuk Choi and SM Line’s Head of Legal & Claims Mr. Woo-Cheol Shin discussed the need to conduct an internal risk analysis of SEA’s monetary claims for refunds of various charges, namely demurrage and detention charges.

SM Line commissioned the creation of the Subject Document to assess SEA’s monetary claims based on SM Line’s data regarding transactions with and on behalf of SEA during the relevant time period. SM Line prepared the Subject Document by running wide range of documents and data through a pivot table analysis. Sung-Hoon Lee, who appears as an author of the Subject Document is one of SM Line’s IT employees who provided technical assistance in creating the Subject Document.

The Subject Document was never transmitted or disclosed to Mr. Chung or anyone else at MMWR.

II. SM Line’s Good Faith Document Production

SM Line served its initial responses to SEA’s written discovery request in this action on July 21, 2023. SM Line’s employees and attorneys have engaged in comprehensive collection and review of electronic discovery, collecting all potentially relevant information from dozens of custodians. In excess of 550 hours have been spent reviewing documents potentially responsive to SEA’s discovery requests in this case in an expensive and time-consuming document production project which has continued for the past four (4) months.

On August 15, 2023, SM Line started its rolling production of documents in this case. Since then, SM Line has reviewed over 55,000 documents and produced approximately 53,000 documents, totaling nearly two hundred thousand pages, to SEA. All the while, Mr. Chung and his firm have engaged in simultaneous privilege review, and have provided privilege logs to SEA, signaling the intent to preserve all relevant privileges.

III. SM Line's Inadvertent Production of the Subject Document

On October 17, 2023, as part of SM Line's rolling production installment, the Subject Document was inadvertently produced alongside 4,206 other documents. The Subject Document was included during the collection of documents from SM Line custodians.

Counsel for SEA introduced the Subject Document as an exhibit during the depositions of SM Line employees Sarah Lee (December 21, 2023), Kwang Soo Oh (January 16, 2024), and Ho Yoo Kim (January 17, 2024). The MMWR attorneys that were present at the depositions did not identify the document as privileged because the document had never been shared with them and none of the witnesses recognized it.²

On the evening of January 17, 2024, Mr. Chung showed Mr. Choi the Subject Document as part of the preparation of Mr. Choi for his deposition the next day. At that time, Mr. Choi informed Mr. Chung that the Subject Document was the internal claim analysis SM Line had completed as discussed at the outset of the litigation, and which was not intended to be produced to SEA.

In the morning on January 18, 2024, MMWR informed SEA of the inadvertent disclosure of the Subject Document and made a demand for the return of the Subject Document. SEA refused

² See Exhibit A, excerpt of the transcript of the deposition of Sarah Lee, page 159, lines 15-22; Exhibit B, excerpt of the transcript of the deposition of Kwang Soo Oh, page 114, line 15 to page 115, line 6; Exhibit C, excerpt of the transcript of the deposition of Ho Yoo Kim, page 138, lines 9-19.

to comply with this demand, claiming that the Subject Document is not protected by any privilege and even if it was, SM Line has waived the privilege because SEA has relied on and used the Subject Document during the litigation. On January 25, 2024, counsel for the parties met and conferred about the Subject Document and were unable to resolve the matter. On January 28, 2024, SEA filed a Motion For Determination of Claim of Privilege and Waiver of the Same Concerning a Single Document Produced by Respondent.

ARGUMENT

The Subject Document is protected by the attorney-client privilege and work product doctrine. At no point did SM Line waive those protections, whether by the inadvertent disclosure or otherwise. Upon SM Line's discovery and subsequent prompt notification of the inadvertent disclosure of the Subject Document to SEA, SEA should have returned the Subject Document. Indeed, Federal Rule of Civil Procedure 26(b)(5)(B) provides as follows:

If information produced in discovery is subject to a claim of privilege or of protection as trial-preparation material, the party making the claim may notify any party that received the information of the claim and the basis for it. After being notified, a party must promptly return, sequester, or destroy the specified information and any copies it has; must not use or disclose the information until the claim is resolved; must take reasonable steps to retrieve the information if the party disclosed it before being notified; and may promptly present the information to the court under seal for a determination of the claim. The producing party must preserve the information until the claim is resolved.

SM Line respectfully requests that the Presiding Officer grant it the simple remedy it is entitled to under the law—return of the privileged Subject Document.

I. The Subject Document is Protected by the Attorney-Client Privilege and the Work Product Doctrine

The Subject Document is precisely the type of document the protections enumerated by the attorney-client privilege and work product doctrine are intended to protect—a document created

once litigation has ensued for the purpose of assessing the legal risk of the claims made with counsel.

The FMC has recently adopted the following attorney-client privilege test from the D.C. Circuit Court: “Was obtaining or providing legal advice a primary purpose of the communication, meaning one of the significant purposes of the communication?” *Tpg Pressure, Inc. v. Omni Logistics, LLC, et al.*, Dkt. No. 22-31 (FMC, November 3, 2023) (citing *In re Kellogg Brown & Root, Inc.*, 756 F.3d 754, 759 (D.C. Cir. 2014)).

The work-product doctrine, as defined by Federal Rule of Civil Procedure 26(b)(3), protects from disclosure documents prepared in anticipation of litigation. *See Gucci America, Inc. v. Guess?, Inc.*, 271 F.R.D. 58, 73-74 (S.D.N.Y. 2010) (“The work product doctrine applies to (1) a document or tangible thing, (2) that was prepared in anticipation of litigation, and (3) was prepared by or for a party, or by or for his representative.”).

After a post-Complaint discussion including both SM Line’s outside counsel Mr. Chung, and internal legal head Mr. Shin, SM Line created the Subject Document for the *sole* purpose of internally analyzing the merits of SEA’s monetary claims. The Subject Document is without a doubt covered by both the attorney-client privilege and work product doctrine, and it is reasonable for SM Line to rely on those protections in requesting the document be returned.

II. SM Line Did Not Waive Protection of the Attorney-Client Privilege and Work Product Doctrine

At the outset, SEA’s argument that SM Line waived privilege protection over the Subject Document because SEA has used it, relied on it, and disclosed it to third parties fails critically for the simple reason that SEA is not the holder of the privilege, SM Line is. And it is well established law that only the holder of the privilege can waive it. *See e.g. Tennenbaum v. Deloitte & Touche*, 77 F.3d 337, 340-41 (9th Cir. 1996); *Haines v. Liggett Grp., Inc.*, 975 F.2d 81, 90 (3d Cir. 1992).

What SEA did with the Subject Document, including whether SEA provided it to third parties, is immaterial for purposes of evaluating SM Line's alleged waiver. Only the actions of SM Line with respect to the Subject Document are relevant to the waiver inquiry. Therefore, to the extent SEA argues waiver based on its own reliance and use of the Subject Document, those arguments should be flatly rejected.

So should SEA's argument that "fairness" warrants a finding in its favor. There is nothing fair about SEA having unfettered access and use of the Subject Document which outlines an *internal* analysis of SEA's very claims against SM Line, especially when SEA can rely on and share with their experts the information and data from the 53,000 other documents that SM Line has produced to date. Considering the breadth and the volume of the documents produced by SM Line in such a short period of time, SEA cannot be prejudiced by the recall of a single privileged document. If anything, SEA's continued use and reliance on the Subject Document, which was clearly created in anticipation of this litigation with SEA, will harm and have a prejudicial effect on SM Line's right and ability to defend itself.

Federal Rule of Evidence 502(b) governs privilege protection, and under the standards therein, SM Line did not waive the protection of the attorney-client privilege and work product doctrine with respect to the Subject Document. A disclosure does not constitute a waiver of privilege if: (1) the disclosure is inadvertent; (2) the holder of the privilege or protection took reasonable steps to prevent disclosure; and (3) the holder promptly took reasonable steps to rectify the error, including (if applicable) following Federal Rule of Civil Procedure 26 (b)(5)(B).

First, the production of the Subject Document was inadvertent, not voluntary. The Subject Document is standalone, and the attorney-client and work-product protections covering it are not evident on its face. The Subject Document does not contain reference to attorneys and it was not

attached to emails indicating that it was sent to or prepared for outside litigation counsel, and in fact it was not sent to anyone outside of SM Line, not even to MMWR. Accordingly, MMWR attorneys were originally unaware that the Subject Document existed at all, let alone that it was privileged. Additionally, at no time has SM Line indicated any willingness or intention to disclosure privileged information to SEA.

Second, reasonable and timely steps have been taken by SM Line to prevent disclosure of the Subject Document. SM Line has undertaken an extensive, costly, and time-consuming review of documents throughout this litigation in an effort to produce responsive documents and prevent the disclosure of privileged ones. Counsel for SM Line has been conducting a privilege review of the documents collected during the rolling production and have provided privilege logs to SEA. Approximately 53,000 documents, totaling nearly two hundred thousand pages, have been produced by SM Line over the course of this litigation, and this is the only document that SM Line has identified as being inadvertently produced to SEA.

Third, once SM Line learned that the Subject Document was covered by the attorney-client privilege and work-product doctrine, it took immediate steps to rectify the disclosure. Indeed, counsel for SM Line did notify SEA about the inadvertent disclosure of the Subject Document and requested its return within twenty-four (24) hours of discovering that the document was indeed privileged and had been produced to SEA.

In its Motion, SEA states that the July 23, 2010 FMC ruling in *Maher Terminals v. Port Authority of New York and New Jersey* Dkt. 08-03, is “particularly instructive” here—it is, but not for the reasons SEA furthers. In the *Maher Terminals* case, the ALJ concluded that “the relevant time under [Rule 502(b)(3)] is how long it took the producing party to act after it learned that the privileged or protected document had been produced.” The ALJ held that PANYNJ had waived

the privilege because the two-week lag between discovery and notification was not reasonable: “Despite learning of the inadvertent production September 25, PANYNJ did not draft a letter to Maher requesting return until October 8, thirteen days later, and did not send the letter until October 9.” In the rulings analysis, the ALJ compared PANYNJ’s delay to a case with facts more akin to those presented here:

In *Prescient Partners*, the court found that [n]o inordinate delay occurred in this case because Prescient’s [sic] counsel wrote defendants’ counsel ***the day after learning of the error to demand return of the documents*** . . . The immediate demand for return of the documents by Prescient contrasts with PANYNJ’s fourteen day delay in seeking return of the documents from Maher.

(citing *Prescient Partners, L.P. v. Fieldcrest Cannon, Inc.*, 1997 WL 736726 (S.D.N.Y Nov. 27, 1997)) (internal quotations and citations omitted). Therefore, SEA’s reliance on *Maher Terminals* is misplaced because the time period between production and the return demand was not relevant or dispositive there, and it is not here either.³ The ALJ’s analysis clearly indicates that SM Line’s next day notification was reasonable and prompt under Rule 502.

CONCLUSION

For the foregoing reasons, SM Line respectfully requests that the Presiding Officer (1) hold that the Subject Document is privileged and that SM Line has not waived the privilege and (2) order that SEA return and/or destroy all copies of the Subject Document and that SEA is precluded from relying on or mentioning the Subject Document for the remainder of this litigation.

³ Despite the allegations by SEA that the Subject Document was first introduced several weeks ago and much time has passed, any such alleged “time-passed” is a result of a prolonged deposition schedules agreed to by the Parties.

/s/Wook Chung

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Dated: January 31, 2024

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 31st day of January 2024, the foregoing document was served via electronic mail on:

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Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
Presiding Administrative Law Judge
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